

How to Use Your Schedule C Tax-Prep Workbook (Active STR)

SKU TAX-012 • SCHEDULE C TAX PREP — ACTIVE STR

What this workbook does

Year-end Schedule C tax-prep file for STR hosts on the active side of the line — substantial-services operators (daily cleaning during stay, meals, transportation, concierge), boutique inns, and active-business hosts who've crossed material-participation thresholds. Mirrors TAX-004 (Schedule E sibling) but adds SE tax preview, hospitality services worksheet, vehicle qualified-business-use test, and QBI safe-harbor flag.

If you're not sure whether you should be filing Schedule C, start with TAX-008 (SE Tax Calculator) — it walks the decision. This workbook assumes you've made the call.

First-time setup (15 min)

1. Open tab **Settings** — confirm Schedule C classification, set active tax year.
2. Tab **Confirmation** — answer the substantial-services + material-participation questions one more time. The workbook gates everything downstream on this confirmation.
3. Tab **Revenue Log** — paste bookings, multi-channel rollup.
4. Tab **Expense Log** — 26 expense categories pre-mapped to Schedule C line numbers.
5. Tab **Hospitality Services** — log substantial services provided per booking: daily cleaning, meals, transportation, recreation. This is your audit-defense paper trail for the Schedule C classification.
6. Tab **Vehicle** — Form 4562 Part V tracking. 50%+ business-use test per year.
7. Tab **QBI Safe Harbor** — log service hours per quarter. 250+ hours/year unlocks the \$199A deduction.

At year-end

1. Confirm every tab has been kept current through the year. If you're catching up in March, expect 2-4 hours.
2. Open the Schedule C Summary tab. Verify the line-by-line outputs.
3. Cross-check the SE Tax Preview tab — confirms the SE tax owed, the 50% above-the-line deduction, and Solo 401(k) / SEP IRA contribution limits.
4. Print the Schedule C Summary + Hospitality Services + QBI Safe Harbor tabs as PDFs. Hand to CPA, or copy line-by-line into TurboTax / H&R Block.

The Hospitality Services worksheet — why it matters

The IRS distinguishes Schedule C from Schedule E for STR by the "substantial services" test. If you're audited, the IRS examiner asks: what services did you provide that go beyond "rental of real estate"? Without documentation, the answer is "I think I did" — and the examiner reclassifies you to Schedule E, with back-tax + penalties.

This tab is your answer. Every booking gets a row: what services were provided (daily cleaning, fresh towels, meals, transportation, etc.), revenue-equivalent allocation if applicable, who provided the service. Five minutes per booking; massive defensibility at year-end.

QBI safe harbor — the 250-hour rule

Rev Proc 2019-38 created a safe harbor: rental real estate qualifies as a §199A trade or business if you log 250+ hours of "rental services" annually (you, employees, or contractors). Most active STR operators clear this; most don't track it. The workbook makes you log hours quarterly so the year-end claim is defensible.

Questions?

hello@thestrledger.com — real humans, fast replies.

Bundle: The Active-STR Bundle (\$197) pairs this with TAX-008 (SE Tax Calculator), TAX-009 (Section 179 Planner), TAX-010 (Cost Segregation DIY), TAX-013 (Depreciation Tracker), and TAX-005 (Quarterly Estimated Tax) — the full kit for hosts on the active side.